website (*www.irs.gov*), or request a printed copy of this publication from the IRS by calling 1-800-829-3676.

You benefit from an FSA because your contributions are deducted before taxes are calculated, thus reducing your taxes. Using the same tax brackets as the health insurance example, if your total tax percentage (federal, state, and social security) is 42.65 percent, every dollar you put into an FSA will cost you only fifty-seven cents. If you have significant medical expenses you can save a lot of money, so don't overlook this great benefit. Don't contribute more than you think you'll use, because under IRS regulations, you forfeit any unused funds at the end of the year. If you get stuck at the end of the year with an unused balance, visit your local drugstore and stock up on bandages, aspirin, cough syrup, and any other goods you think you'll use in the coming year.

401(k) and Other Retirement Plans

If your employer provides a 401(k) plan, you'd do well to participate—remember, your contributions are usually tax deferred (except for social security taxes). If your employer matches a percentage of your contribution, add this to your compensation total when calculating the value of your benefits. Most employers match between fifty cents and $1 for every dollar you contribute, for up to 3 to 6 percent of your salary. If you earn $40,000 a year and contribute $200 a month and your employer match is 75 percent for up to 6 percent of your salary, your employer will kick in another $150 a month up to a maximum of $2,400 a year. Under this example, your employer is actually paying you an additional $1,800 a year ($150 × 12 = $1,800).